

SAHAYA SIJON E_MINOR PROJECT 3_AI MAY 2026

Summary Report: Airbnb Price Prediction Model Performance

R-squared (R^2) and Mean Absolute Error (MAE)

R-squared Score: 0.12

What does this mean?

our model explains 12% of the variability in the listing prices.

The remaining 88% of the price variation is currently not captured by our model.

For a business stakeholder:

This means our model provides DETAILS About why some Airbnb prices are higher or lower than others.

While it can identify some trends, it's not highly accurate in explaining the full range of price differences.

Model's Mean Absolute Error (MAE): 70.77

What does this mean?

our model's predicted price for an Airbnb listing is off by approximately \$70.77 from its *actual market price*.

For a business stakeholder: This metric gives a clear understanding of the typical error margin.